

FEDERAL MARITIME COMMISSION
Office of the Administrative Law Judges

SOUTHERN STATES FORWARDING, INC., *Claimant*

v.

MEDITERRANEAN SHIPPING COMPANY (USA) INC.,
Respondent.

DOCKET NO. 1980(I)

Served: October 11, 2022

BEFORE: Theresa DIKE, *Small Claims Officer.*

ORDER APPROVING CONFIDENTIAL SETTLEMENT AND DISMISSING PROCEEDING

On August 10, 2022, the Secretary of the Federal Maritime Commission (“FMC” or “Commission”) issued a Notice of Filing of Small Claims Complaint and Assignment noting that Complainant Southern States Forwarding, Inc. (“Southern States”) had filed a complaint against Respondent Mediterranean Shipping Company (USA) Inc. (“MSC”). Claimant alleged in its complaint that MSC violated 46 U.S.C. §§ 40101 and 41104(d)(2) of the Shipping Act and the Commission’s Rules of Practice and Procedure at 46 C.F.R. § 501.2(c) by changing its shipping schedule after the Port of Norfolk had begun receiving Claimant’s booking, resulting in export demurrage, roll-over fees and other costs.

The Secretary instructed Respondent to file a response to the Claim by September 6, 2022, and to indicate whether it consents to the adjudication of the Claim under the informal procedures provided at Subpart S of the Commission’s Rules of Practice and Procedure (46 C.F.R. § 502.301-305). The Secretary also assigned the proceeding to the Chief Administrative Law Judge to designate a Small Claims Officer to adjudicate the proceeding.

Respondent requested an extension of time to file its answer on August 29, 2022, and an additional extension of time on September 21, 2022. Both requests were granted and Respondent was given time until October 3, 2022, to file a response. On September 27, 2022, an email was received from Claimant, stating that it wished to withdraw its complaint because it had settled its dispute with Respondent. On October 4, 2022, the parties submitted a motion to dismiss (“Motion”), together with a confidential settlement agreement and release. Respondent has not yet filed a response to the Claim and did not object to the adjudication of this Claim under the informal procedures. Accordingly, on October 11, 2022, the Chief Administrative Law Judge assigned this proceeding to the undersigned for adjudication under the Commission’s informal procedures.

Complainant seeks to withdraw its claim against Respondents based on a settlement agreement between the parties resolving their dispute. Pursuant to the Commission's Rule 72(a)(3):

[A]n action may be dismissed at the complainant's request only by order of the presiding officer, on terms the presiding officer considers proper. If the motion is based on a settlement by the parties, the settlement agreement must be submitted with the motion for determination as to whether the settlement appears to violate any law or policy and to ensure the settlement is free of fraud, duress, undue influence, mistake, or other defects which might make it unapprovable. Unless the order states otherwise, a dismissal under this paragraph is without prejudice.

46 C.F.R. § 502.72(a)(3). Although Rule 72, governing dismissal of Commission proceedings, is not applicable to Subpart S proceedings, the undersigned used the rule as guidance for ruling on Claimant's request to dismiss the Claim.

The Commission's regulations allow settlements by litigating parties, however the Commission requires that settlement agreements be submitted "for determination as to whether the settlement appears to violate any law or policy and to ensure the settlement is free of fraud, duress, undue influence, mistake, or other defects which might make it unapprovable." *Maier Terminals v. The Port Authority of N.Y. & N.J.*, 34 S.R.R. 322, 325 (FMC 2016). In reviewing settlement agreements, the Commission is guided by its "strong and consistent policy of encouraging settlements and engaging in every presumption which favors a finding that they are fair, correct, and valid." *Maier Terminals*, 34 S.R.R. at 326 (quoting *APM Terminals North America, Inc. v. Port Authority of N.Y. & N.J.*, 31 S.R.R. 623, 626 (FMC 2009)).

"While following these general principles, the Commission does not merely rubber stamp any proffered settlement, no matter how anxious the parties may be to terminate their litigation." *Old Ben Coal Co. v. Sea-Land Serv., Inc.*, 18 S.R.R. 1085, 1092 (ALJ 1978). However, if a "proffered settlement does not appear to violate any law or policy and is free of fraud, duress, undue influence, mistake or other defect which might make it unapprovable despite the strong policy of the law encouraging approval of settlements, the settlement will probably pass muster and receive approval." *Id.* At 1093. "[I]f it is the considered judgment of the parties that whatever benefits might result from the vindication of their positions would be outweighed by the costs of continued litigation and if the settlement otherwise complies with law the Commission authorizes the settlement. [sic]" *Delhi Petroleum Pty. Ltd. v. U.S. Atlantic & Gulf/Australia – New Zealand Conf. and Columbus Line, Inc.*, 24 S.R.R. 1129, 1134 (ALJ 1988).

The parties state that they "are entering into this Settlement Agreement for the purpose of making peaceful resolution between them" and consulted with their attorneys before entering into the settlement agreement and that the terms of their agreement "are fully understood and voluntarily accepted." Settlement Agreement at at 2. They further state that the consideration exchanged as a result of the Settlement Agreement "is the result of negotiation based on the Parties' evaluation of the risks and costs associated with litigation and is accordingly deemed mutually just and appropriate by the Parties." Settlement Agreement at 2.

A review of the settlement agreement, which is signed by both parties, does not show any indicia of fraud, duress, undue influence, or mistake and appears to reflect an arms-length resolution between the parties. The terms appear to be fair, reasonable, and adequate. Accordingly, the parties' settlement agreement is approved and this proceeding dismissed.

Although the parties did not specifically request confidentiality, the Settlement Agreement "acknowledges the confidential nature of the existence and terms and conditions of this Settlement Agreement" and the parties hold themselves accountable for any breach of the terms of the agreement by their representatives. Settlement Agreement at 2. It is thus presumed that the parties are seeking confidentiality for their agreement. "If parties wish to keep the terms of their settlement agreements confidential, the Commission, as well as the courts, have honored such requests." *Al Kogan v. World Express Shipping, Transportation and Forwarding Services, Inc.*, 29 S.R.R. 68, 70 n.7 (ALJ 2000) (internal citations omitted); *Marine Dynamics v. R.T.M Line, Ltd.*, 27 S.R.R. 503, 504 (ALJ 1996); *International Association of NVOCCs v. Atlantic Container Line*, 25 S.R.R. 1607, 1609 (ALJ 1991). The parties' implied request to keep their settlement agreement terms confidential is reasonable and thus granted.

Upon consideration of the proposed settlement and Claimant's motion for voluntary dismissal of its Claim, and for the reasons stated above, it is hereby

ORDERED that the settlement agreement be **APPROVED**. It is

FURTHER ORDERED that the request for confidentiality be **GRANTED**. It is

FURTHER ORDERED that this proceeding be **DISMISSED WITH PREJUDICE**.



Theresa Dike
Small Claims Officer